Company Registration No. 07940335 (England and Wales)

PORTSMOUTH COMMUNITY FOOTBALL CLUB LIMITED

FINANCIAL STATEMENTS

FOR THE YEAR ENDED

30 JUNE 2020

3 Acorn Business Centre
Northarbour Road
Cosham
Portsmouth
Hampshire
United Kingdom
PO6 3TH

PORTSMOUTH COMMUNITY FOOTBALL CLUB LIMITED

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PORTSMOUTH COMMUNITY FOOTBALL CLUB LIMITED

COMPANY INFORMATION

Directors	Mr. M Catlin Mr M Eisner Mr E Eisner Mr B Eisner Mr A Eisner Mr A Redman
Company number	07940335
Registered office	Fratton Park Frogmore Road Portsmouth Hampshire United Kingdom PO4 8RA
Auditor	TC Group 3 Acorn Business Centre Northarbour Road Cosham Portsmouth Hampshire United Kingdom PO6 3TH
Bankers	Barclays Bank Plc PO Box 6 Portsmouth Hampshire PO6 3DH
Solicitors	Verisona 1000 Lakeside North Harbour Portsmouth PO6 3EN

Football performance

The 2019-20 season had already been disjointed by the loss of Bury from League One and re arranged Saturday fixtures before it was curtailed by Covid-19 in March 2020; the first time the club had been unable to complete a season since World War 2.

After a slow start to the season on the pitch; we had gathered momentum in the league and were well placed two points outside automatic promotion position with just nine matches outstanding. The subsequent national lockdown had a massive impact on all aspects of national life but football was one of the first industries to resume operations albeit without fans in the stadium when we resumed action in the play-offs against Oxford United in July 2020 . After two drawn semi-final legs; we subsequently lost out on a penalty shoot-out and denied a trip to Wembley for the Play-Off final.

We had earlier enjoyed some exciting matches in the FA Cup and Carabao Cup with atmospheric matches at Fratton Park against Arsenal and Southampton respectively. We also enjoyed further success in the EFL Trophy reaching the final for the second successive year selling over 50,000 tickets before the national lockdown postponed the fixture against Salford City.

We had consolidated our squad in summer 2019 with the recruitment of six new players on permanent contracts incurring significant transfer fees for John Marquis/Ellis Harrison/Marcus Harness. With additional loan signings in the January Transfer window such as Cameron McGeehan/Steve Seddon; the team was on an impressive run on the pitch before the season was curtailed with us placed in fourth position.

The Cup success boosted the club's revenues from a combination of prize money, share of gate receipts and TV monies and we had 14,000 Season Ticket holders as we kicked-off the new season.

There was continued investment behind the scenes in the infrastructure at Fratton Park and training ground facility at ROKO and the lockdown provided an opportunity to complete significant building work on the North stand roof in Spring 2020.

Covid-19 had a material impact on club revenue from football operations for the season albeit this was offset by the Government furlough relief offered to all companies.

Trading performance

Turnover reduced by £0.3 million for the year compared to 2019 principally due to the impact of Covid-19 which directly contributed to the loss of £1.3 million income due to the early curtailment of the 2019/20 season.

The loss of the final four home games on top of the already cancelled Bury fixture cost the club £0.7 million in lost ticket income from matchday revenue and the refund/credit to Season Ticket holders. We also lost £0.2 million income from our commercial, hospitality and merchandising operations as the national lockdown affected all areas of the business. In addition, after selling 55,000 tickets for the Leasing.com final we lost £0.4 million net revenue due to the postponement of the final in March 2020.

This lost income was in part offset by national government support via rates relief and furlough which provided £0.5 million. We incurred further costs in the form of PPE equipment, additional cleaning costs and operational changes to enable us to resume football operations in a safe environment in June 2020 in time for the Play Offs.

We achieved a net profit of £2.2 million on the transfer of players during the year.

The traditional 'EBITDA' (Earnings before Interest Depreciation & Amortisation) showed a £2m profit. The depreciation and amortisation charges of £1.8m represent non-cash write-downs, which include depreciation on assets acquired when the club came out of administration, and £1.25m in respect of the write-down of intangible player assets.

Trading performance (continued)
The final net result is an overall profit of £260,000.

Balance sheet
The retained profit for the year earned by club operations increased the Balance Sheet to a total of £14.9 million net assets.

Improvement progamme of work on the Fratton park facilities with a new investment of £1.9m comprising South Stand work and new roof on North Stand.

Cash flows
In terms of cash flows, the club recorded a net cash inflow from operating activities before working capital adjustments of £0.1 million for the year ended 30th June 2020, compared to a net cash outflow of £0.9m in the prior year.

Ownership
The club drew down £2.0m from the owner's investment fund during the year and £4.0m was remaining in the fund at the end of the financial year.

Financial risk management objectives and policies

Principal risks and uncertainties
The principal risk to the business is the performance of the team which may affect revenue obtained from games and also sponsorship. The cost base of the business, in common with other football clubs, is relatively fixed in the short-term, hence unfavourable movements in revenue can lead to a significant variation in profits.

The company is aware of this risk and addresses the issue by seeking to strengthen the squad through the development and acquisition of players. It is the aim of the directors to maximise the flexibility of the cost base to deal with unexpected revenue reductions.

Financial risk management
The directors have reviewed the financial risk management objectives and policies of the company. They do not believe there to be significant risks in this area. The company does not enter into any hedging instruments as there are not believed to be any material exposures. It does not enter into any financial instruments for speculative purposes.

Appropriate trade terms are negotiated with suppliers and customers. Management review these terms, the relationships with suppliers and customers and manages any exposure on normal trade terms. The company prepares regular forecasts of cash flow and liquidity with which the directors assess the ongoing cash commitments of the company as part of a strict cash flow management programme.

Liquidity risk and going concern
The directors are satisfied that the company has access to sufficient resources to continue to meet its obligations as they fall due. The financial statements have been prepared on the going concern basis as the directors are satisfied that the company can continue to operate for the foreseeable future.

Details of the assumptions used by the directors in their assessment of the going concern basis, are provided within note 1.2 to the financial statements.

Section 172 Statement

Section 172 of the Companies Act 2006 requires Directors to take into consideration the interests of stakeholders and other matters in their decision-making. The Directors continue to have the highest regard to the interest of the Club's employees, supporters, commercial partners and other stakeholders.

Community
The Club and its award-winning charity partner Pompey in the Community remain at the heart of the community, working to engage with a wide range of supporter demographics through various programmes to promote education, healthy living and sporting participation and achievement among vulnerable and disadvantaged people of all ages.

It was at the heart of a range of community initiatives to tackle short and longer-term effects of the pandemic including delivery of food parcels in conjunction with the first team squad. The programme, which forms part of their wider Covid-19 Community Aid Package, focuses on supporting UK charity partners who are meeting the immediate needs of people, including low-income families, those facing financial hardship, isolated elderly people and key workers.

Club Employees
Employee wellbeing is of utmost importance to the Club. Throughout the lockdown and furlough period we conducted bi-weekly regular staff update calls via ZOOM providing up to date advice and guidance to all employees and we supported employees diagnosed with COVID-19 through wellbeing calls.

We started a monthly 'Pompey People' Staff Newsletter, communicating important club information, welcoming new starters to increase engagement and guidance around mental and physical health and wellbeing whilst working remotely including video links to fitness classes conducted by some of our players and scholars.

We set up a link with Solent NHS Trust to offer free online mental health and wellbeing courses and counselling sessions and Wellness Action Plans where applicable for individual employees.

Supporter Engagement
We remain grateful and humbled by the continued inspirational support of all our supporters. We are committed to continuing our active engagement via regular bi-monthly meetings with the Supporters Conference to discuss key initiatives and priorities and ensure all Pompey fans are updated on club matters.

In addition, we hold quarterly Heritage & Advisory Board Meetings which comprises three members of the Pompey Supporters Trust and three members of The Presidents, which are frequently attended by the Team Manager, to seek their direct input on preserving the club's heritage and other significant club issues.

The Board made an early decision to rebate season ticket holders, memberships, and hospitality customers for all League matches which were either cancelled or held behind closed doors as part of the UK's response to the outbreak of COVID-19. The Board did not want stakeholders of the Club to be financially penalised for not being able to attend football matches at Fratton Park, which was completely out of their control. Three options of the rebate were offered which included a cash refund, credit for future matches or donation to the Academy.

Business Relationships
The club continues to maintain and develop strong relationships with all our commercial partners via direct engagement for the sustainable growth of the club. We launched a number of initiatives with our main commercial partner; University of Portsmouth, which provided wider benefits across the local community including a new scholarship programme to enable disadvantaged youngsters in the city the opportunity to attend university.

Business relationships (continued)

The club also offered valuable work experience placements to students across all areas of the business resulting in a number of students gaining full time positions once finishing their studies. We also provided opportunities to university media students to manage and deliver our match day big screen production which has been shortlisted for a prestigious sports award.

Both parties benefit greatly from this partnership and we are committed to evolving the partnership for the mutual benefit of the wider community.

Portsmouth Football Club Carbon Footprint Statement

We are committed to becoming a key player on sustainability and energy awareness within the wider footballing community and reduce carbon footprint emissions across all our properties at Fratton Park, Anson Road ticket office & shop and training ground.

The carbon footprint at Fratton Park contributes to 88.6% of our annual total energy consumption; the training ground 6.8% and the shop and ticket office 4.6%. Overall, the Club reports 982K annual kWh usage for the period ending 30 June 2020. It is not practical for the Club to obtain information on total UK emissions (TCO2e), intensity ratios and any comparable information as per the exemption afforded by the SECR framework.

As a Club situated on an island and surrounded by water, we are aware of the worrying effects that global warming and plastic pollution has on our oceans. At the start of the 2019/20 season, Portsmouth FC committed to going plastic-free at the Training Ground to commence our own efforts to reverse the worrying trend and usage of single-use plastics. Our first team squad were each issued with a reusable bottle and water fountains were installed for easy re-fill and to ensure our players re-hydrated during training. In addition, our Head Physiotherapist has stopped using disposable ice bags in a concerted effort to reduce plastic waste.

At Fratton Park, stadium renovation work has incorporated the removal of our iconic energy-draining floodlights which were replaced by more energy efficient LED bulbs located on the roofs of the stands. In addition to this, as part of the refurbishment of Head Office facilities, timed motion-sensor lights have been installed to save on energy consumption.

The club's sponsorship partnerships also reinforce our commitment to our becoming more environmentally sustainable. We are committed to supporting educational school talks and beach litter picks in conjunction with our main partner, University of Portsmouth and local sustainability charity Final Straw Solent. We aim via this work to educate the next generation on the importance of recycling and being more sustainable to protect our planet, animals and oceans in the future. In addition, our official Fratton End Sponsor and energy provider, Utilita Energy, has launched the EnergyHigh5 campaign, educating and enlightening football fans across the country how making five small household changes which can save money as well as reduce carbon footprint and energy usage. We have directly communicated this message to our supporters via our social media and our digital marketing platforms platforms.

On behalf of the board

30 March 2021

Mr. M Catlin
Director

DIRECTORS' REPORT

FOR THE YEAR ENDED 30 JUNE 2020

The directors present their annual report and financial statements for the year ended 30 June 2020.

Principal activities
The principal activity of the company continued to be that of operating a professional football club.

Results and dividends
The company's profit for the year was £187,719. The directors do not recommend the payment of a dividend.

Charitable contributions
The company makes donations to registered charities in the form of autographed kit, equipment and other memorabilia as well as providing substantial support to charities own fundraising activities on match days.

Disabled employees
The company actively encourages applications for employment from disabled people where the requirements of the job can be adequately fulfilled by that person. Where existing employees become disabled, it is the company's policy to make reasonable adjustments wherever practicable in order to provide continuing employment under normal terms and conditions and to provide training and career development and promotion to disabled employees wherever appropriate.

Directors
The directors who held office during the year and up to the date of signature of the financial statements were as follows:

Mr. M Catlin
Mr M Eisner
Mr E Eisner
Mr B Eisner
Mr A Eisner
Mr A Redman

Employee involvement
The company's policy is to consult and discuss with employees, through unions, staff councils and at meetings, matters likely to affect employees' interests.

Information about matters of concern to employees is given through information bulletins and reports which seek to achieve a common awareness on the part of all employees of the financial and economic factors affecting the company's performance.

Statement of directors' responsibilities

The directors are responsible for preparing the annual report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Auditor

The auditor, TC Group, is deemed to be reappointed under section 487(2) of the Companies Act 2006.

Statement of disclosure to auditor

So far as each person who was a director at the date of approving this report is aware, there is no relevant audit information of which the company's auditor is unaware. Additionally, the directors individually have taken all the necessary steps that they ought to have taken as directors in order to make themselves aware of all relevant audit information and to establish that the company's auditor is aware of that information.

On behalf of the board

Mr. M Catlin
Director

30 March 2021

PORTSMOUTH COMMUNITY FOOTBALL CLUB LIMITED

INDEPENDENT AUDITOR'S REPORT

TO THE MEMBERS OF PORTSMOUTH COMMUNITY FOOTBALL CLUB LIMITED

Opinion

We have audited the financial statements of Portsmouth Community Football Club Limited (the 'company') for the year ended 30 June 2020 which comprise the statement of comprehensive income, the balance sheet, the statement of changes in equity, the statement of cash flows and notes to the financial statements, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including FRS 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland* (United Kingdom Generally Accepted Accounting Practice).

In our opinion the financial statements:

- give a true and fair view of the state of the company's affairs as at 30 June 2020 and of its profit for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the financial statements* section of our report. We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

We have nothing to report in respect of the following matters in relation to which the ISAs (UK) require us to report to you where:

- the directors' use of the going concern basis of accounting in the preparation of the financial statements is not appropriate; or
- the directors have not disclosed in the financial statements any identified material uncertainties that may cast significant doubt about the company's ability to continue to adopt the going concern basis of accounting for a period of at least twelve months from the date when the financial statements are authorised for issue.

Other information

The directors are responsible for the other information. The other information comprises the information included in the Strategic report and Directors report. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether there is a material misstatement in the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of our audit:

- the information given in the strategic report and the directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the strategic report and the directors' report have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception

In the light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified material misstatements in the strategic report and the directors' report.

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of directors

As explained more fully in the directors' responsibilities statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at: http://www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Use of our report

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members, as a body, for our audit work, for this report, or for the opinions we have formed.

James Blake FCA (Senior Statutory Auditor)
for and on behalf of TC Group

Statutory Auditor
Office: Portsmouth

30 March 2021

PORTSMOUTH COMMUNITY FOOTBALL CLUB LIMITED

STATEMENT OF COMPREHENSIVE INCOME

FOR THE YEAR ENDED 30 JUNE 2020

	Notes	2020 £	2019 £
Turnover	3	11,284,126	11,578,854
Cost of sales		(7,946,198)	(7,930,310)
Gross profit		3,337,928	3,648,544
Administrative expenses		(4,089,505)	(3,999,889)
Profit on disposal of player registrations		2,236,360	3,333,567
Other operating income		581,954	61,548
EBITDA	4	2,066,737	3,043,770
Depreciation and amortisation		(1,806,787)	(985,222)
Profit before taxation		259,950	2,058,548
Taxation	7	-	-
Profit for the financial year		259,950	2,058,548
Other comprehensive income		-	-
Total comprehensive income for the year		259,950	2,058,548

The Statement of Comprehensive Income has been prepared on the basis that all operations are continuing operations.

The notes on pages 16 to 28 form part of these financial statements

PORTSMOUTH COMMUNITY FOOTBALL CLUB LIMITED

BALANCE SHEET

AS AT 30 JUNE 2020

	Notes	2020		2019	
		£	£	£	£
Fixed assets					
Intangible assets	**8**		2,045,847		1,009,149
Tangible assets	**9**		11,992,843		10,097,906
			14,038,690		11,107,055
Current assets					
Stocks	**10**	23,685		12,022	
Debtors	**11**	5,924,834		10,419,691	
Cash at bank and in hand		3,280,465		3,993,977	
		9,228,984		14,425,690	
Creditors: amounts falling due within one year	**12**	(5,719,074)		(8,182,546)	
Net current assets			3,509,910		6,243,144
Total assets less current liabilities			17,548,600		17,350,199
Creditors: amounts falling due after more than one year	**13**		(2,608,118)		(2,669,667)
Net assets			14,940,482		14,680,532

BALANCE SHEET (CONTINUED)

AS AT 30 JUNE 2020

	Notes	2020 £	2020 £	2019 £	2019 £
Capital and reserves					
Called up share capital	**16**		10,005,673		10,005,673
Share premium account			5,667,327		5,667,327
Profit and loss reserves			(732,518)		(992,468)
Total equity			14,940,482		14,680,532

The financial statements were approved by the board of directors and authorised for issue on 30 March 2021 and are signed on its behalf by:

Mr. M Catlin
Director

Company Registration No. 07940335

The notes on pages 16 to 28 form part of these financial statements

PORTSMOUTH COMMUNITY FOOTBALL CLUB LIMITED

STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 30 JUNE 2020

	Share capital	Share premium account	Profit and loss reserves	Total
	£	£	£	£
Balance at 1 July 2018	10,005,673	5,667,327	(3,051,016)	12,621,984
Year ended 30 June 2019:				
Profit and total comprehensive income for the year	-	-	2,058,548	2,058,548
Balance at 30 June 2019	10,005,673	5,667,327	(992,468)	14,680,532
Year ended 30 June 2020:				
Profit and total comprehensive income for the year	-	-	259,950	259,950
Balance at 30 June 2020	10,005,673	5,667,327	(732,518)	14,940,482

The notes on pages 16 to 28 form part of these financial statements

PORTSMOUTH COMMUNITY FOOTBALL CLUB LIMITED

STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED 30 JUNE 2020

	Notes	2020 £	2020 £	2019 £	2019 £
Cash flows from operating activities					
Cash absorbed by operations	**21**		(211,450)		(876,510)
Investing activities					
Purchase of intangible assets		(2,323,080)		(983,000)	
Proceeds on disposal of intangibles		2,273,123		3,367,831	
Purchase of tangible fixed assets		(2,452,105)		(1,848,953)	
Club Funds transferred to Parent Company for investment on behalf of Club		2,000,000		1,000,000	
Net cash (used in)/generated from investing activities			(502,062)		1,535,878
Net cash used in financing activities			-		-
Net (decrease)/increase in cash and cash equivalents			(713,512)		659,368
Cash and cash equivalents at beginning of year			3,993,977		3,334,609
Cash and cash equivalents at end of year			3,280,465		3,993,977

The notes on pages 16 to 28 form part of these financial statements

1 Accounting policies

Company information

Portsmouth Community Football Club Limited (07940335) is a private company limited by shares incorporated in England and Wales. The registered office is Fratton Park, Frogmore Road, Portsmouth, Hampshire, United Kingdom, PO4 8RA.

1.1 Accounting convention

These financial statements have been prepared in accordance with FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" ("FRS 102") and the requirements of the Companies Act 2006.

The financial statements are prepared in sterling, which is the functional currency of the company. Monetary a mounts in these financial statements are rounded to the nearest £.

The financial statements have been prepared on the historical cost convention. The principal accounting policies adopted are set out below.

1.2 Going concern

At the time of approving these financial statements, Portsmouth Community Football Club Limited ('PCFC') was still operating under lockdown measures legislated by the UK Government to address the COVID-19 pandemic, which has continued to have a significant impact on the local, UK and global economies. The duration and extent of the measures the UK Government announce to tackle the ongoing COVID-19 pandemic, creates significant challenges to the football industry including PCFC and there is considerable uncertainty in forecasting the impact of the measures on the business. The COVID-19 pandemic is likely to continue to have a significant ongoing impact on the operations of PCFC throughout the 2020/21 season and potentially into the 2021/22 season. These factors and future policy announcements by the UK Government are largely outside of the control of the company's directors, but could have a significant impact on the club.

To date PCFC's revenue streams have been profoundly reduced by the requirement to play football matches behind closed doors, whilst many of its costs result from contractual arrangements entered into before the COVID-19 pandemic. Where possible PCFC has sought to significantly reduce its operational costs and also in part utilising government support schemes such as time-to-pay, VAT deferral and the Coronavirus Job Retention Scheme.

In assessing the appropriateness of the going concern assumption, PCFC has produced cash flow forecasts that extend to the end of the 2021/22 football season, taking into account several potential scenarios to reflect the inherent uncertainty over COVID-19. Within the scenarios forecasted, PCFC acknowledges that further financial resources may be required from the owners, and although such funding is not contracted at this time, the directors believe that sufficient funds will be made available if required.

Based on the cash flow forecasts prepared, and considering the reasonably foreseeable scenarios expected in relation to the ongoing COVID-19 pandemic, together with the availability of further funding from the owners as required, the directors are satisfied that PCFC has sufficient resources to continue to meets its obligations as they fall due. Accordingly, the directors have concluded that it is appropriate for the financial statements to be prepared on the going concern basis.

1 Accounting policies **(Continued)**

1.3 Turnover

Turnover represents the total amount receivable from football and related commercial activities, excluding transfer fees receivable, and is stated net of VAT. Income from broadcasting, match days and those elements of commercial activities relating to matches is recognised when the related matches are played. Income from advance ticket sales, including season tickets, is deferred accordingly. Other commercial income is recognised on a receivables basis.

1.4 Intangible fixed assets - player registrations

Player costs

The costs associated with acquiring players' registrations or extending their contracts are capitalised as intangible assets and amortised, in equal installments, over the period of the respective players' contracts. Where a contract is renegotiated prior to the expiry of its original term, the net book value at that time, and any new costs relating to the contract extension, are amortised over the remaining revised contract life.

Under the conditions of certain transfer agreements or contract renegotiations, further fees will be payable in the event of the players concerned making a certain number of first-team appearances or on the occurrence of certain other specified future events. Liabilities in respect of these additional transfer fees are accounted for, as provisions, when it becomes probable that the number of appearances will be achieved or the specified future events will occur.

Provision is made for any impairment and player registrations are written down for impairment when the carrying amount exceeds the amount recoverable through use or sale.

Signing on fees are charged evenly to the profit and loss account over the period of the player's contract

Profit or loss on disposal of player's registrations

Profits or losses arising on the disposal of players' contracts are credited or charged to the profit and loss account in the year in the player is sold. They are calculated as the difference arising between the transfer fees receivable and the net book value of the contracts at the time of this disposal. Any excess of net book value of a player's contract over its net realisable value is taken to the profit and loss account as and when it arises.

Amortisation

Amortisation is recognised so as to write off the cost or valuation of assets less their residual values over their useful lives on the following bases:

Negative Goodwill	5 years straight line
Player Registrations	straight line over the period of the contracts
Trademarks	5 years straight line

1.5 Tangible fixed assets

Tangible fixed assets are initially measured at cost and subsequently measured at cost or valuation, net of depreciation and any impairment losses.

1 Accounting policies **(Continued)**

Depreciation is recognised so as to write off the cost or valuation of assets less their residual values over their useful lives on the following bases:

Freehold Property	25 years straight line
Leasehold Property	straight line over the lease term
Other fixed assets	5 years straight line

The gain or loss arising on the disposal of an asset is determined as the difference between the sale proceeds and the carrying value of the asset, and is credited or charged to profit or loss.

1.6 Impairment of fixed assets

At each reporting period end date, the company reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). Where it is not possible to estimate the recoverable amount of an individual asset, the company estimates the recoverable amount of the cash-generating unit to which the asset belongs.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the impairment loss is treated as a revaluation decrease.

Recognised impairment losses are reversed if, and only if, the reasons for the impairment loss have ceased to apply. Where an impairment loss subsequently reverses, the carrying amount of the asset (or cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

1.7 Stocks

Stocks are valued at the lower of cost and net realisable value, after making due allowance for obsolete and slow moving items.

1.8 Cash and cash equivalents

Cash at bank and in hand are basic financial assets and include cash in hand, deposits held at call with banks, other short-term liquid investments with original maturities of three months or less, and bank overdrafts. Bank overdrafts are shown within borrowings in current liabilities.

1 Accounting policies **(Continued)**

1.9 Financial instruments

The company has elected to apply the provisions of Section 11 'Basic Financial Instruments' and Section 12 'Other Financial Instruments Issues' of FRS 102 to all of its financial instruments.

Financial instruments are recognised in the company's balance sheet when the company becomes party to the contractual provisions of the instrument.

Financial assets and liabilities are offset, with the net amounts presented in the financial statements, when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

Basic financial assets

Basic financial assets, which include debtors and cash and bank balances, are initially measured at transaction price including transaction costs and are subsequently carried at amortised cost using the effective interest method unless the arrangement constitutes a financing transaction, where the transaction is measured at the present value of the future receipts discounted at a market rate of interest. Financial assets classified as receivable within one year are not amortised.

Classification of financial liabilities

Financial liabilities and equity instruments are classified according to the substance of the contractual arrangements entered into. An equity instrument is any contract that evidences a residual interest in the assets of the company after deducting all of its liabilities.

Basic financial liabilities

Basic financial liabilities, including creditors, are initially recognised at transaction price unless the arrangement constitutes a financing transaction, where the debt instrument is measured at the present value of the future receipts discounted at a market rate of interest. Financial liabilities classified as payable within one year are not amortised.

Debt instruments are subsequently carried at amortised cost, using the effective interest rate method.

Trade creditors are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Amounts payable are classified as current liabilities if payment is due within one year or less. If not, they are presented as non-current liabilities. Trade creditors are recognised initially at transaction price and subsequently measured at amortised cost using the effective interest method.

1.10 Equity instruments

Equity instruments issued by the company are recorded at the proceeds received, net of direct issue costs. Dividends payable on equity instruments are recognised as liabilities once they are no longer at the discretion of the company.

1 Accounting policies **(Continued)**

1.11 Employee benefits

The costs of short-term employee benefits are recognised as a liability and an expense, unless those costs are required to be recognised as part of the cost of stock or fixed assets.

The cost of any unused holiday entitlement is recognised in the period in which the employee's services are received.

Termination benefits are recognised immediately as an expense when the company is demonstrably committed to terminate the employment of an employee or to provide termination benefits.

1.12 Retirement benefits

The company operates a defined contribution pension scheme for employees. The assets of the scheme are held separately from those of the company. The annual contributions payable are charged to the profit and loss account.

1.13 Leases

Rentals payable under operating leases, including any lease incentives received, are charged to profit or loss on a straight line basis over the term of the relevant lease except where another more systematic basis is more representative of the time pattern in which economic benefits from the leases asset are consumed.

1.14 Government grants

Government grants are recognised at the fair value of the asset received or receivable when there is reasonable assurance that the grant conditions will be met and the grants will be received.

Deferred government grants in respect of capital expenditure are treated as deferred income and are credited to the profit and loss account over the estimated useful life of the assets to which they relate.

A grant that specifies performance conditions is recognised in income when the performance conditions are met. Where a grant does not specify performance conditions it is recognised in income when the proceeds are received or receivable. A grant received before the recognition criteria are satisfied is recognised as a liability.

1.15 Foreign exchange

Transactions in currencies other than pounds sterling are recorded at the rates of exchange prevailing at the dates of the transactions. At each reporting end date, monetary assets and liabilities that are denominated in foreign currencies are retranslated at the rates prevailing on the reporting end date. Gains and losses arising on translation are included in the profit and loss account for the period.

2 Judgements and key sources of estimation uncertainty

In the application of the company's accounting policies, the directors are required to make judgements, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised where the revision affects only that period, or in the period of the revision and future periods where the revision affects both current and future periods.

Key sources of estimation uncertainty

The estimates and assumptions which have a significant risk of causing a material adjustment to the carrying amount of assets and liabilities are as follows.

Depreciation of tangible fixed assets

The company establishes a reliable estimate of the useful life of tangible fixed assets from their acquisition. This estimate is based on the expected use of the assets, any legal, regulatory or contractual provisions that can limit useful and historical evidence of the useful like of similar assets.

3 Turnover and other revenue

An analysis of the company's turnover is as follows:

	2020	2019
	£	£
Turnover		
Football League Basic Award	2,274,676	1,999,061
Ticket sales	5,410,330	6,111,133
Income from sponsors and partners	1,121,490	1,042,448
Hospitality income	999,011	1,332,608
Players on loan	94,410	73,791
Other football related income	399,882	472,900
Broadcasting and related income	984,327	546,913
	11,284,126	11,578,854

4 Loss before taxation

profit for the year is stated after charging/(crediting):	2020 £	2019 £
Fees payable to the company's auditor for the audit of the company's financial statements	14,000	13,550
Depreciation of owned tangible fixed assets	557,168	529,144
Amortisation of intangible assets	1,249,619	456,078
Profit on disposal of intangible assets	(2,236,360)	(3,333,567)
Government grants - Income released in respect of deferred captial grants	(61,549)	(61,548)
Government grants - Coronavirus Job Retention Scheme grants	(520,406)	-
Operating lease charges	88,173	88,618

5 Employees

The average monthly number of persons (including directors) employed by the company during the year was:

	2020 Number	2019 Number
Players	46	43
Office and football management	73	70
Casual staff	204	298
	323	411

Their aggregate remuneration comprised:

	2020 £	2019 £
Wages and salaries	7,182,297	6,677,724
Social security costs	816,909	666,015
Pension costs	70,324	85,659
	8,069,530	7,429,398

6 Directors' remuneration

	2020	2019
	£	£
Remuneration for qualifying services	171,000	168,000
Company pension contributions to defined contribution schemes	1,315	934
	172,315	168,934

Directors are also considered to be Key Management Personnel.

7 Taxation

The actual charge for the year can be reconciled to the expected charge for the year based on the profit or loss and the standard rate of tax as follows:

	2020	2019
	£	£
Profit before taxation	259,950	2,058,548
Expected tax charge based on the standard rate of corporation tax in the UK of 19.00% (2019: 19.00%)	49,391	391,124
Tax effect of expenses that are not deductible in determining taxable profit	58,824	52,897
Tax effect of utilisation of tax losses not previously recognised	(108,215)	(444,021)
Tax expense for the year	-	-

Factors that may affect future tax charges

The company has approximately circa £3m of tax losses carried forward available for future use. The related deferred tax asset has not been recognised as it does not meet the recognition criteria required by paragraph 29.7 of FRS 102.

8 Intangible fixed assets

	Goodwill	Player Registrations	Trademarks	Total
	£	£	£	£
Cost				
At 1 July 2019	(330,513)	1,674,050	55,025	1,398,562
Additions	-	2,316,234	6,846	2,323,080
Disposals	-	(171,984)	-	(171,984)
At 30 June 2020	(330,513)	3,818,300	61,871	3,549,658
Amortisation and impairment				
At 1 July 2019	(330,513)	714,622	5,304	389,413
Amortisation charged for the year	-	1,237,672	11,947	1,249,619
Disposals	-	(135,221)	-	(135,221)
At 30 June 2020	(330,513)	1,817,073	17,251	1,503,811
Carrying amount				
At 30 June 2020	-	2,001,227	44,620	2,045,847
At 30 June 2019	-	959,428	49,721	1,009,149

9 Tangible fixed assets

	Freehold Property	Leasehold Property	Assets under construction	Other fixed assets	Total
	£	£	£	£	£
Cost					
At 1 July 2019	7,724,934	2,802,999	309,541	1,746,608	12,584,082
Additions	2,128,267	-	59,702	264,136	2,452,105
At 30 June 2020	9,853,201	2,802,999	369,243	2,010,744	15,036,187
Depreciation and impairment					
At 1 July 2019	1,248,655	166,602	-	1,070,919	2,486,176
Depreciation charged in the year	334,907	54,622	-	167,639	557,168
At 30 June 2020	1,583,562	221,224	-	1,238,558	3,043,344
Carrying amount					
At 30 June 2020	8,269,639	2,581,775	369,243	772,186	11,992,843
At 30 June 2019	6,476,279	2,636,397	309,541	675,689	10,097,906

10 Stocks

	2020	2019
	£	£
Food and beverage stocks	23,685	12,022

11 Debtors

	2020	2019
Amounts falling due within one year:	£	£
Trade debtors	1,117,274	3,258,606
Amount due from parent undertaking	4,000,000	6,000,000
Other debtors	516,427	393,518
Prepayments and accrued income	291,133	767,567
	5,924,834	10,419,691

12 Creditors: amounts falling due within one year

	2020	2019
	£	£
Trade creditors	913,603	871,024
Taxation and social security	1,013,442	1,398,756
Other creditors	1,948,683	275,665
Accruals and deferred income	1,843,346	5,637,101
	5,719,074	8,182,546

13 Creditors: amounts falling due after more than one year

	Notes	2020	2019
		£	£
Deferred income		2,608,118	2,669,667

Deferred income relates to monies the company received towards specified capital expenditure, which qualified to be accounted for as government grants. The income is released to the profit and loss account evenly over the useful life of the assets acquired, to match the depreciation of those specified assets purchased using the proceeds.

14 Deferred taxation

Deferred tax assets and liabilities are offset where the company has a legally enforceable right to do so. The following is the analysis of the deferred tax balances (before offset) for financial reporting purposes:

	Liabilities 2020	Liabilities 2019	Assets 2020	Assets 2019
Balances:	£	£	£	£
Accelerated capital allowances	458,083	(298,579)	-	-
Tax losses available	-	-	(458,083)	298,579
	458,083	(298,579)	(458,083)	298,579

The deferred tax asset arising on the tax losses available for future use has been capped to offset the deferred tax liability arising on the fixed asset timing differences.

15 Retirement benefit schemes

	2020	2019
Defined contribution schemes	£	£
Charge to profit or loss in respect of defined contribution schemes	70,324	85,659

The company operates a defined contribution pension scheme for all qualifying employees. The assets of the scheme are held separately from those of the company in an independently administered fund.

16 Share capital

	2020	2019
	£	£
Ordinary share capital		
Issued and fully paid		
10,005,673 of £1 each	10,005,673	10,005,673

17 Financial commitments, guarantees and contingent liabilities

In the event that Portsmouth Football Club should be promoted to the Football Association Premier League, Portsmouth Community Football Club Limited shall be required to pay further purchase consideration of £4,000,000, if promotion is achieved by 30th June 2022, reducing to £3,000,000 if promotion is achieved subsequently prior to 30th June 2023.

18 Operating lease commitments

Lessee

At the reporting end date the company had outstanding commitments for future minimum lease payments under non-cancellable operating leases, which fall due as follows:

	2020	2019
	£	£
Within one year	191,622	117,526
Between two and five years	454,122	276,403
In over five years	1,173,664	1,184,901
	1,819,408	1,578,830

19 Related party transactions

In accordance with Section 33.1A of FRS 102 the company has taken exemption from disclosing transactions and balances between group undertakings which are wholly owned by members of the group.

During the year, the company provided a £300,000 loan to Pompey In The Community, a registered charity in which a director of the company is a trustee. The loan is interest free and does not require repayment until February 2030.

20 Ultimate controlling party

The company is wholly owned by Portsmouth FC LLC, which is wholly owned by The Tornante Company LLC, both Portsmouth FC LLC and The Tornante Company LLC are registered in the United States of America. Mr M. Eisner is considered to be the ultimate controlling party of the company, by virtue of his controlling interest in The Tornante Company LLC.

21 Cash generated from operations

	2020	2019
	£	£
Profit for the year after tax	259,950	2,058,548
Adjustments for:		
Gain on disposal of intangible assets	(2,236,360)	(3,333,567)
Amortisation and impairment of intangible assets	1,249,619	456,078
Depreciation and impairment of tangible fixed assets	557,168	529,144
Movements in working capital:		
(Increase) in stocks	(11,663)	(5,965)
Decrease/(increase) in debtors	2,494,857	(2,497,103)
(Decrease)/increase in creditors	(2,463,472)	1,977,903
(Decrease) in deferred income	(61,549)	(61,548)
Cash absorbed by operations	(211,450)	(876,510)

22 Analysis of changes in net funds

	1 July 2019	Cash flows	30 June 2020
	£	£	£
Cash at bank and in hand	3,993,977	(713,512)	3,280,465

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